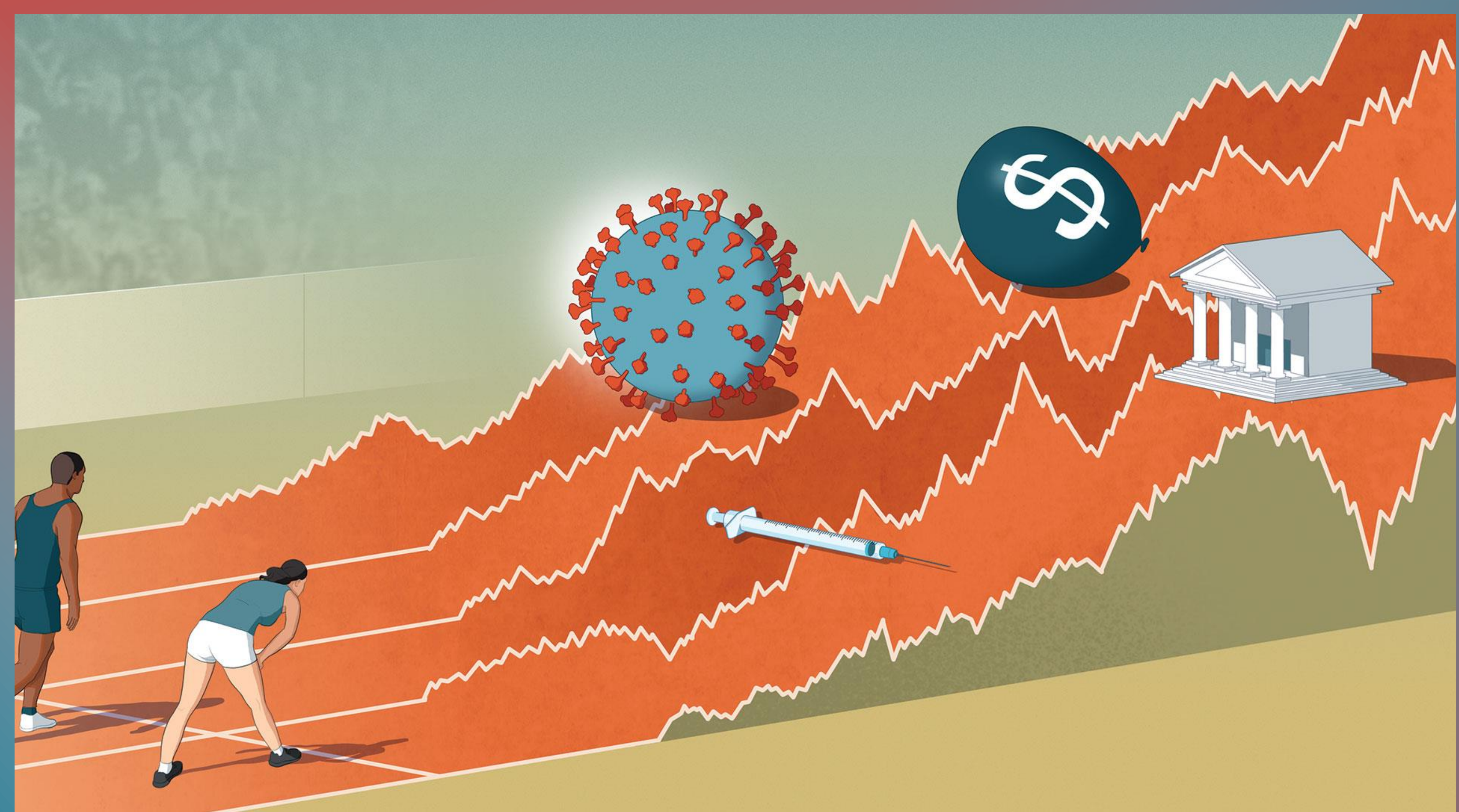




EMERGING MARKETS





WHAT ARE EMERGING MARKETS?

- Emerging markets are economies that show some of the traits of developed economies but aren't quite at the same level yet.
- An emerging market economy is progressing towards becoming advanced, with regulatory bodies, a market exchange, and some liquidity in its debt and equity markets.
- However, it doesn't have the same level of regulation, oversight or market efficiency that an advanced market has.
- This means they are defined as emerging markets not only by the way the economy is performing but how it is being reformed and developed.
- An emerging market grows faster than an advanced one, but an advanced market delivers steadier, more reliable growth over sustained periods of time.





ECONOMIC INDICATORS

- GDP per Capita
- Average Income
- Poverty Rate
- Urbanization Rate
- Income Inequality



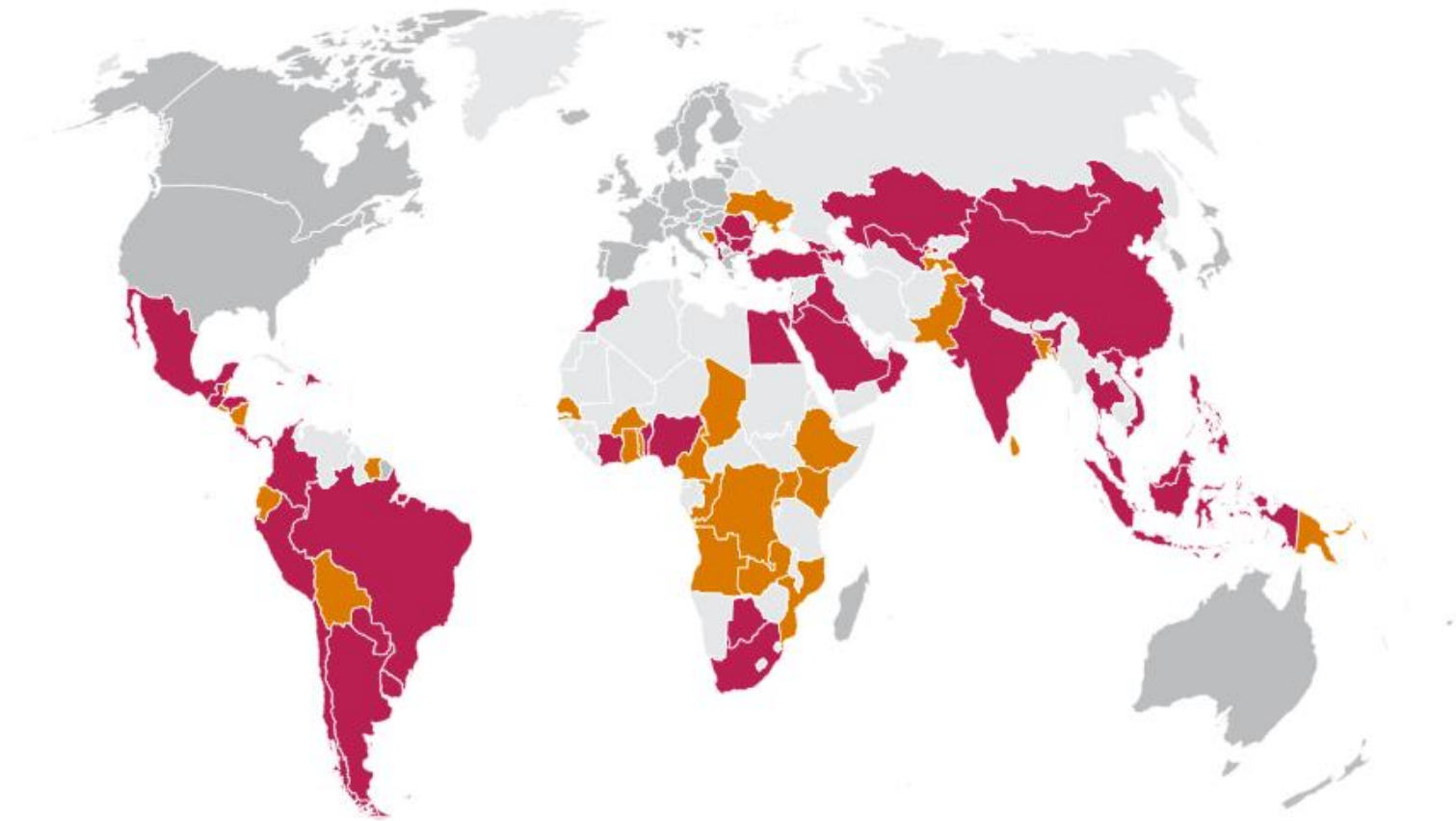
WHAT ARE FRONTIER MARKETS?

- Frontier markets represent economies that are less developed than emerging markets but show significant growth potential.
- These markets are in earlier stages of economic development, offering opportunities for higher returns along with increased risks.
- Key Features of Frontier Markets
 - ✓ Smaller economies
 - ✓ Lower liquidity
 - ✓ High growth potential
 - ✓ Low levels of global integration
- Advantages of Frontier Markets
 - ✓ Untapped opportunities
 - ✓ High growth rates
 - ✓ Diversification benefits
- Challenges of Frontier Markets
 - ✓ High volatility
 - ✓ Limited infrastructure
 - ✓ Liquidity issues



S&P Global Ratings tracks more than 135 sovereigns worldwide, including emerging and frontier markets

Emerging markets Frontier markets Other rated sovereigns Not rated

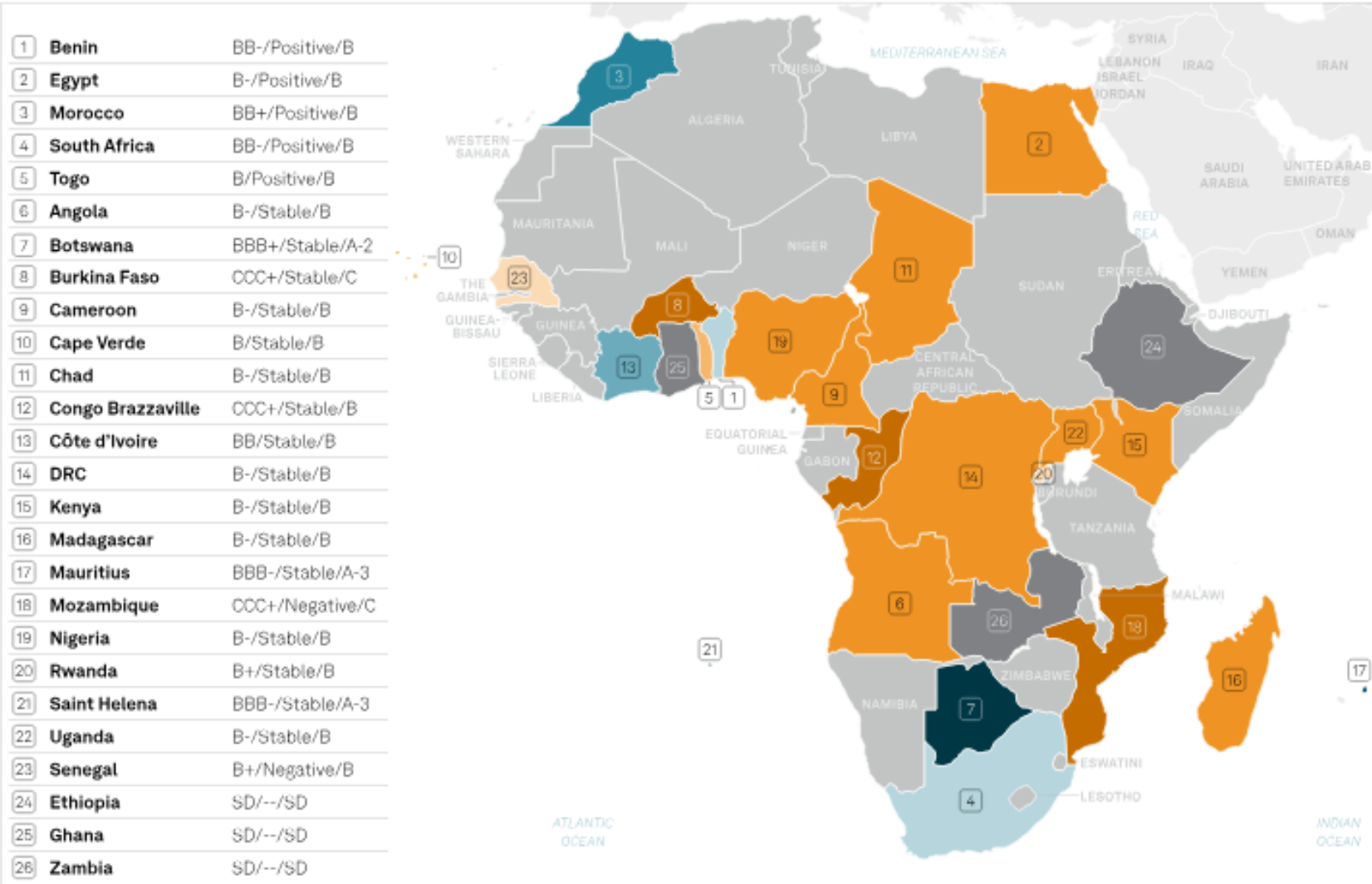


Source: S&P Global Ratings.

Growth and reform momentum in Africa drive ratings up in 2024

Foreign currency ratings

BBB+ BBB- BB+ BB BB- B+ B B- CCC+ CCC SD NR



Credit ratings as of Feb. 24, 2025. DRC--Democratic Republic of Congo. NR--Not rated. SD--Selective default.

Source: S&P Global Ratings.

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KEY DIFFERENCES BETWEEN EMERGING & FRONTIER MARKETS

Aspect	Emerging Markets	Frontier Markets
Economic Development	Mature stages with high industrialization and diversified economies (e.g., Brazil).	Limited development, smaller economies, reliant on few sectors (e.g., Kenya).
Market Liquidity	More liquid financial markets, easier trading of shares and assets.	Low liquidity, making asset sales slower and subject to price changes.
Risk Levels	Moderate risk, relatively stable political and economic environments.	Higher risk due to political instability and weaker regulatory frameworks.
Growth Potential	Strong growth but slowing as economies mature.	Higher growth potential with untapped opportunities.
Global Integration	Highly integrated into global trade and finance (e.g., China in global supply chains).	Less integrated, limiting external shocks but with reduced global capital access.
Types of Investors	Attracts institutional investors seeking stable growth with moderate risk.	Appeals to risk-tolerant investors like venture capitalists and private equity firms.



FEATURES OF EMERGING MARKETS

- Market Size
- Infrastructure Development
- Market Liquidity
- Economic Growth
- Growth and Investment Potential
- Income Per Capita

A SHIFTING EMERGING MARKET LANDSCAPE

Countries have been added and removed from the MSCI Emerging Markets Indexes over the years based on the market classification framework that assesses economic development, size and liquidity, and market accessibility.



EMERGING MARKETS EVOLUTION

MSCI Emerging Markets Index region and country allocation

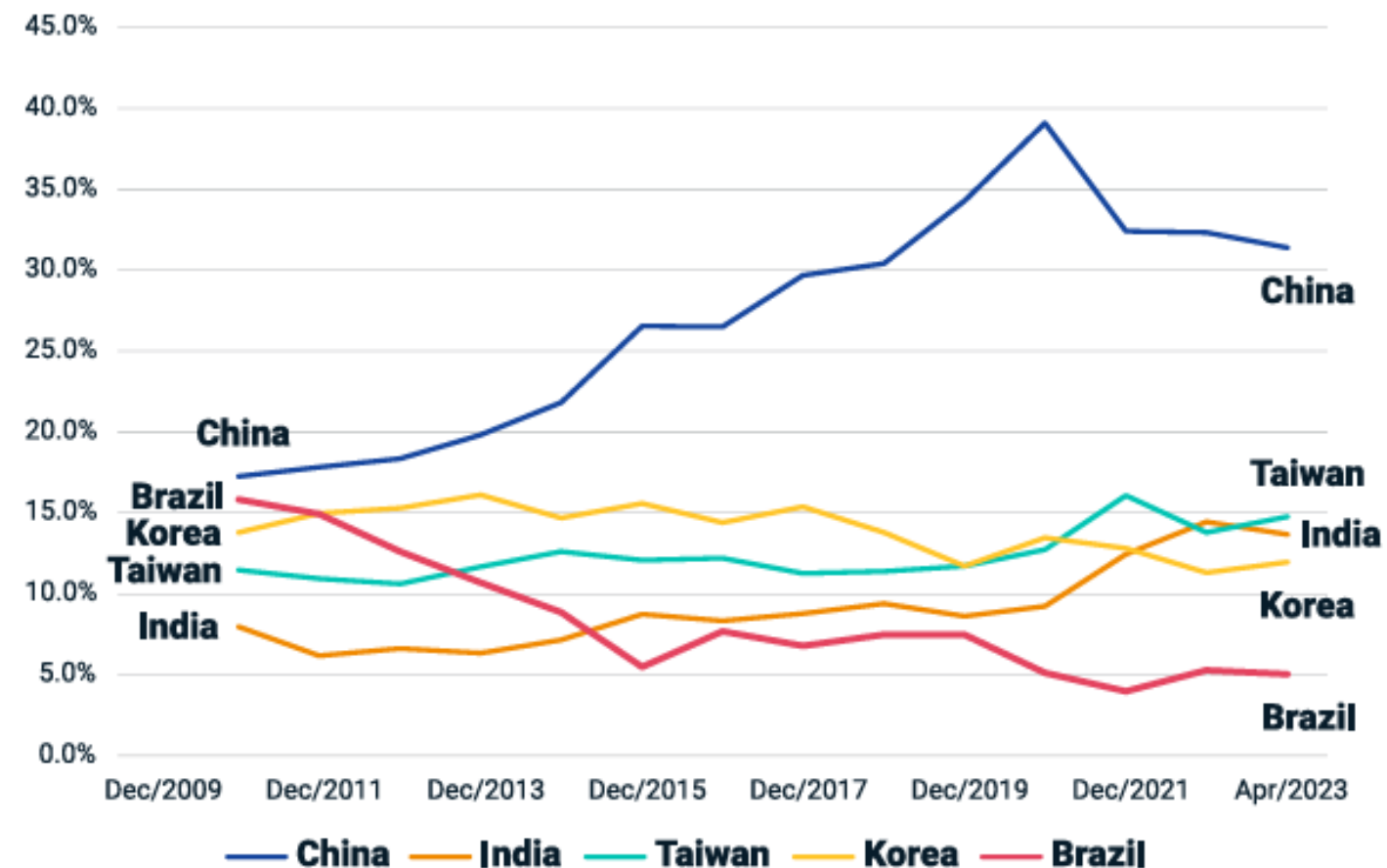
Americas (8.7%)		EMEA (13.2%)		APAC (78.1%)	
Brazil	5.0%	Saudi Arabia	4.2%	China	31.4%
Mexico	2.7%	South Africa	3.6%	Taiwan	14.8%
Chile	0.6%	UAE	1.4%	India	13.7%
Peru	0.3%	Qatar	0.9%	Korea	12.0%
Colombia	0.1%	Kuwait	0.9%	Thailand	2.1%
		Poland	0.8%	Indonesia	2.0%
		Turkey	0.6%	Malaysia	1.5%
		Greece	0.4%	Philippines	0.7%
		Hungary	0.2%		
		Czech Republic	0.2%		
		Egypt	0.1%		

APAC: Asia Pacific

EMEA: Europe, Middle East, and Africa

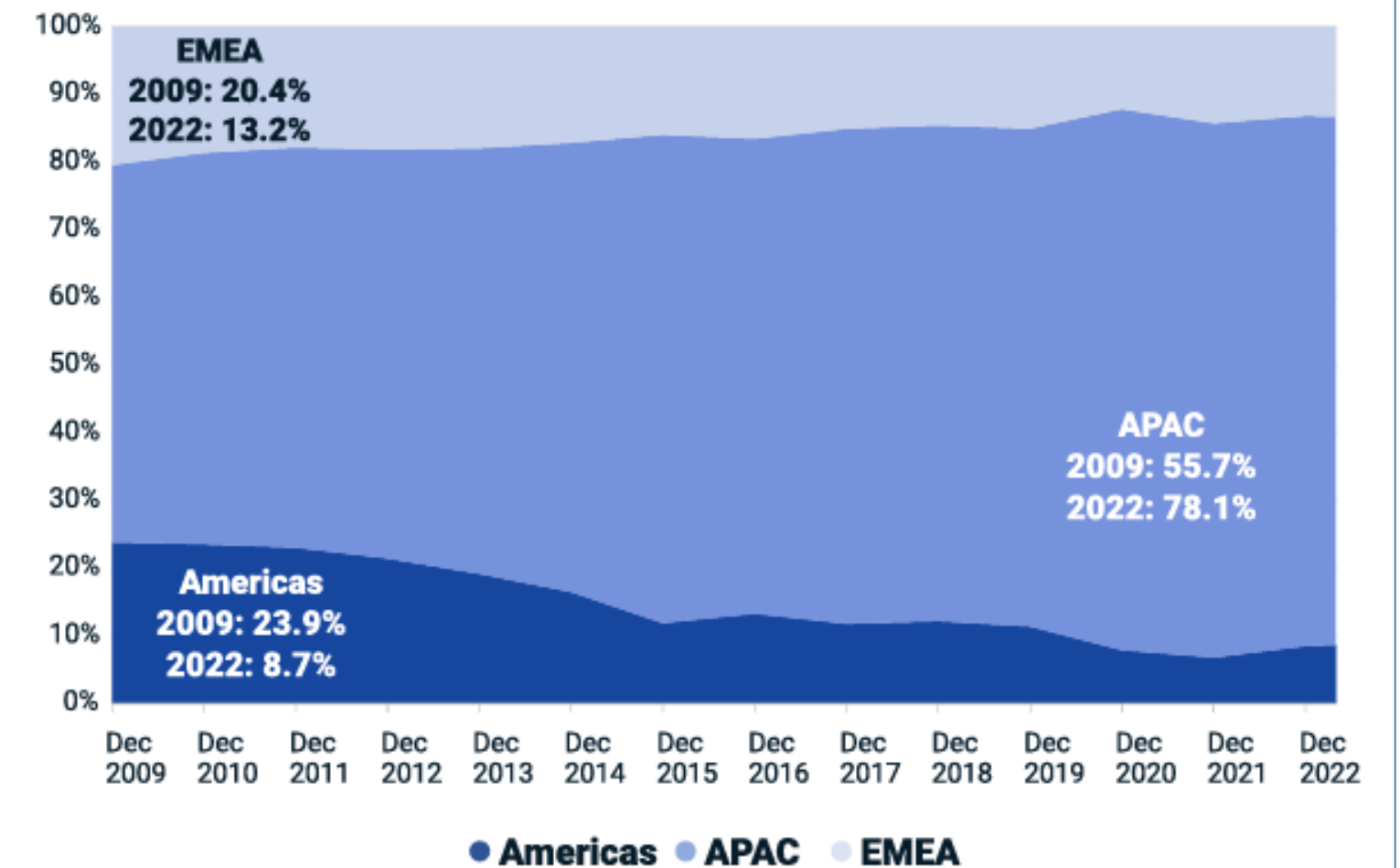
Source: MSCI, as of April 30, 2023

Largest countries in the MSCI Emerging Markets Index



Source: MSCI, as of April 30, 2023

Regional weights in MSCI Emerging Markets Index



Source: MSCI, as of April 30, 2023

msci

THE LANDSCAPE OF EMERGING MARKETS



- The fastest economic growth is happening outside the traditional power centers.
- Here are the regions that are experiencing it:
 - South and Southeast Asia
 - North Africa
 - Central America



Countries:

Brazil
Chile
China
Colombia
Czechia
Greece
Hungary
India
Indonesia
Latvia
Malaysia
Mexico
Morocco
Peru
Philippines
Poland
Russia
South Africa
South Korea
Taiwan
Thailand
Turkey
United Arab Emirates

Source: World Bank

ADVANTAGES OF EMERGING MARKETS



- High returns potential
- Global integration
- Diversification
- A fast-growing customer base
- Cost advantages
- Local resources and supply chain proximity
- High growth return and diversification
- Talent and improvement
- Room to collaborate



BIGGEST BUSINESS OPPORTUNITIES IN EMERGING MARKETS

- An expanding customer base
- Digital advancements
- Infrastructure and urban growth
- Natural resources
- Manufacturing and supply chain
- Local improvement



RISKS & CHALLENGES OF EMERGING MARKETS

- Political and policy uncertainty
- Economic instability
- Regulatory friction
- Infrastructure gaps
- Cultural differences and talent challenges
- Reputational and compliance risk



DO EMERGING MARKETS MAKE GOOD INVESTMENTS?

- Emerging markets have been one of the hottest investment areas since the early 2000s, with new funds and investments popping up all the time.
- While there is no doubt that lucrative gains may await investors that can find the right emerging market investment at the right time, the risks involved are sometimes understated.
- With high-risk, high-reward investments, you need to understand and evaluate each of the risks specific to emerging markets before jumping in.



THE RISE OF GREEN FINANCE IN EMERGING MARKETS

- Definition of Green Finance
Financial operations and investments that explicitly support environmentally sustainable activities (e.g. renewable energy, conservation etc.).
- Emerging Markets are Increasingly Engaged
Countries like Brazil and South Africa are leading examples.
- Green Finance as a Pathway to Sustainable Development
 - ✓ In emerging markets, green finance is not purely environmental but seen as a way to combine economic growth with environmental responsibility.
 - ✓ It helps countries become more resilient to climate change and more attractive to international investors who care about sustainability

THE ROLE OF EMERGING MARKETS IN; **GLOBAL TRADE** **GLOBAL ECONOMY**

- Emerging markets have become a key driver of global economic growth.
- Emerging markets are a growing source of demand for goods and services.
- Emerging markets are driving trade expansion.
- Emerging markets face challenges in participating in global trade.

- Driving global growth
- Attracting foreign investment
- Diversifying global trade
- Challenges and risks
- Best Investment options

THE ROLE OF EMERGING MARKETS IN THE; GLOBAL FINANCIAL LANDSCAPE

GLOBAL EXPANSION

- Economic growth potential
- Diversification opportunities
- Access to natural resources
- Demographic advantage
- Financial market development
- Technological innovation

- Market potential and demographics
- Cultural adaptation
- Distribution channels and retail landscape
- Regulatory challenges and compliance

EMERGING MARKETS AND GLOBAL EXPANSION STRATEGIES

- Market diversity and localization
- Infrastructure constraints and innovation opportunities
- Affordability and value-based pricing
- Regulatory navigation
- Partnerships and alliances
- Scalability and sustainable growth
- Digital literacy and user education

Activity 4.1

- 1) Group with 03 - 05 members.
- 2) Select an emerging market (India, Brazil, Vietnam, etc.).
- 3) Pick a technology product/service (e.g., cloud storage, mobile payment app, e-learning platform, cybersecurity software, low-cost smartphones, etc.).
- 4) Analyze the assigned market based on these points:
 - ✓ Market potential - What makes this country attractive (population, internet penetration, digital growth, etc.)?
 - ✓ Opportunities - How could that product/service meet local needs?
 - ✓ Challenges - What barriers might you face (infrastructure, regulations, cultural, or economic factors)?
 - ✓ Entry strategy - Suggest one way to successfully enter the market (partnership, low-cost model, localization, etc.).
- 5) Debrief & Discussion:
 - ✓ Compare markets - Which seem most promising for tech businesses?
 - ✓ Discuss how emerging market dynamics differ from developed markets.

❖ *Deadline – 05th October 2025*

